Morgan Stanley | RESEARCH

UPDATE

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TMT Credit Research | North America

ORCL Credit: Chips Ahoy! A New Funding Vessel for Navigating the Next AI Finance Wave

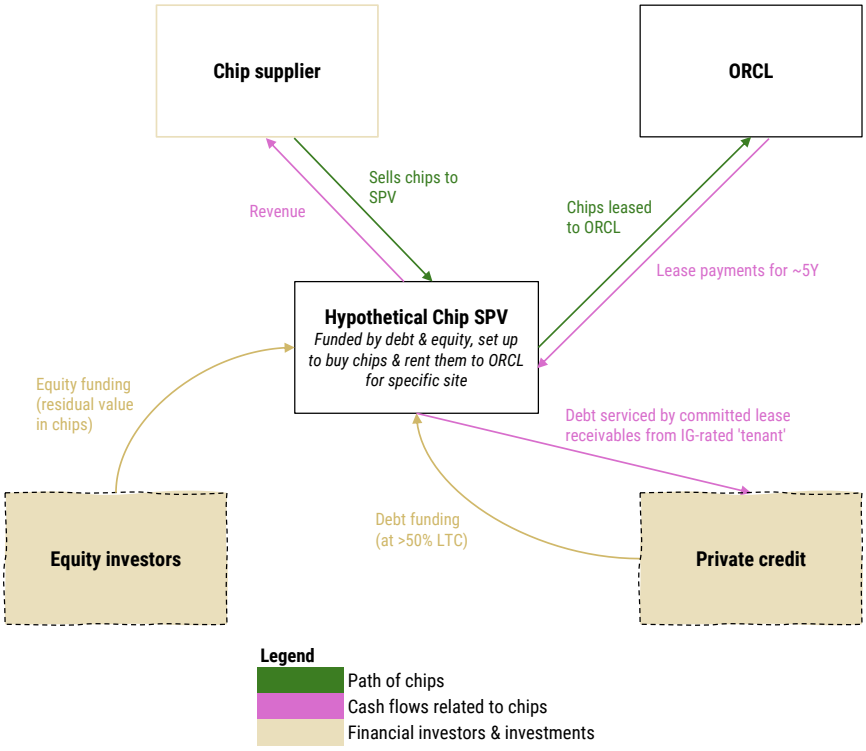
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The WSJ reports that **ORCL may be entering the creative chip-financing mix** through a structure in which a third-party entity purchases chips and leases them back to ORCL, as soon as this year, though did not provide sizing (we are not aware of a company response nor of a deal). That **closely matches the chip-lease SPV framework we have long hypothesized**, even going back to our December 2025 earnings reaction.

Exhibit 1: One key chip financing structure – which we refer to as a chip-lease SPV – uses an intermediary SPV that purchases chips from a supplier and leases them to an AI customer, and the debt raise is backed by the lease and amortizing.



Source: Morgan Stanley Research. Note: Presented in our December earnings response. Also see our June deck for more on such structures (note select trades stale): GPUs, TPUs, & IOUs: Insights on Contract- and Chip-Backed Debt Financings from the Corporate Lens (3 Jun 2026).

As a reminder at a high-level, corporate motivations for potential bespoke creative chip financing have included deferring upfront capex requirements, diversifying funding sources, and potentially lowering cost of capital. The two key asset/ contract-backed structures are **contract-backed term loans** and **chip-lease SPV debt**, both in the form of short-dated amortizing paper.

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For ORCL specifically, a chip-lease SPV has seemed logical given our views that its IG rating could serve a purpose in obtaining financing off of a hypothetical commitment (now for chips, not just shells), its USD IG index debt footprint should not expand significantly more toward that of large financial issuers, and natural debt paydown in the out years could be prudent to incorporate into the complex.

Until recently, however, management appeared content to **rely on potential future customer prepayments** as the extra tool in the funding toolkit. What may have changed is not only cost of capital for parent bonds (now at 7.5% for ORCL 10y), but also the growing likelihood of a **broader wave of creative chip financing** – i.e., shorter dated, amortizing paper backed by a chip lease or compute contract. Since our August NVDA credit initiation, we've had extensive investor discussions on this, a recurring theme being uncertainty over the market's capacity to absorb the **sheer scale of forthcoming GPU/XPU financing needs, with potential scaling beyond bank lending and private credit into public markets.**

In this context, top of mind – given semiconductor management commentary and a June TPU deal – are potential additional structures designed to help unrated and high-yield issuers meet upfront capex needs, aided by some form of residual-value support or high-quality offtake (or pricing floor support). But it is also **possible that IG corporates – for upfront capex or even in sale-leaseback format – may see value in establishing an early position before creative chip financing possibly evolves into a large, crowded asset class**.

For ORCL, from a ratings and accounting perspective, **we would view a chip-lease SPV to be debt-like**, with the lease recognized on-balance-sheet at commencement and incorporated into adjusted leverage assessments at the parent level. We are also watching how already limited lease disclosures could evolve with any introduction of 5Y chip operating leases.

If the reported deal indeed plays out, we would appreciate management's efforts to diversify funding sources – which may also demonstrate willingness to explore other currencies for unsecured and even hybrids. It's possible such a chip lease deal, paired with other options, could reduce the need for **a CY1H bond deal**, or at least limit near-term equity issuance or a reliance on prepays. But we suspect any bond-market reaction to this headline – which appears to be a fair move wider to start – will end up being driven less by ORCL-specific supply implications and more by **investor indigestion around the prospective scale of the broader chip-financing wave**. For ORCL as an IG 'tenant', we wonder whether its growing stock of leases could drive incremental CDS hedging activity. Conversely, **any form of NVDA support in a hypothetical announced deal** – though not currently our base case – would be constructive for ORCL.

ORCL Credit Trade

ORCL Credit Trade Valuation Methodology and Risks - Lindsay Tyler					
TRADE	**ENTRY LEVEL**	**ENTRY DATE**	**CURRENT LEVEL**	**RATIONALE**	**RISKS**
Buy **ORCLCP** 5Y CDS	+57bp	9/28/25	+260bp	• Credit profile deterioration, driven by cash funding needs and increasing lease liabilities related to new data centers • Lender hedging may be a key driver of CDS too • For relative value, we've considered other large structure situations where there have been ratings risk	• Constructive updates on RPO/growth and financing clarity • TL As may not ultimately serve a significant funding role • CDS technicals: Basis selling, construction loan hedge unwinds, fast money outright shorts profit taking
Sell **ORCL** 5.2 9/26/35 Sell ORCL 5.95 9/26/55	+167bp +208bp	1/23/26	+224bp +278bp	• Credit profile deterioration, driven by cash funding needs and increasing lease liabilities related to new data centers • For relative value, we've considered large media/ cable structure comps	• Additional visibility on long-term monetization and delevering beyond FY28-end • Issuance cadence may be different than our assumptions

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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